

## I. THE PARTIES

This Home Equity Loan Agreement ("Agreement") made this \_\_\_\_ , 20 \_\_ , is between:

- Borrower: Sarah Lee, with a mailing address of 123 Main St, Anytown, USA ("Borrower") and agrees to borrow money from:
- Lender: Home Finance Corp, with a mailing address of 456 Bank St, Anytown, USA, and agrees to lend money to the Borrower under the following terms:

## II. LOAN AMOUNT

The total amount of money being borrowed from the Lender to the Borrower is \$50,000 ("Borrowed Money").

## III. INTEREST RATE

The Borrowed Money shall: (check one)

- ☐ - Bear Interest. The Borrowed Money shall bear interest at a rate of 5.0% compounded: (check one)
- ☐ - Annually
- ☐ - Monthly
- ☐ - Other: \_\_\_\_
- ☐ - NOT Bear Interest.

## IV. TERM

The total amount of the Borrowed Money, including principal and interest, shall be due and payable on \_\_\_\_ , 20 \_\_ ("Due Date").

## V. PAYMENTS

The Borrower agrees to repay the Borrowed Money to the Lender under the following payment schedule: (check one)

- ☐ - Weekly Payments. The Borrower agrees to repay the Lender a payment of \$ \_\_\_\_ on the \_\_\_\_ of each week until the Due Date.
- ☐ - Monthly Payments. The Borrower agrees to repay the Lender a payment of \$395.40 on the 1st of each month until the Due Date.
- ☐ - Lump Sum. The Borrower agrees to repay the Lender, in full, on the Due Date.

## VI. FEES AND CHARGES

- Closing costs: 2% (\$1,000)
- Appraisal fee: \$400

## VII. LATE PAYMENT

A late payment fee of \$40 will be charged after 10 days.

**VIII. DEFAULT CONDITIONS**

Default occurs after 90 days of non-payment.

**IX. PREPAYMENT TERMS**

No prepayment penalty.

**X. GOVERNING LAW**

This Agreement shall be governed by the laws of the State of New York.

**XI. SIGNATURES**

Borrower: \_\_\_\_\_ (Sarah Lee)

Lender: \_\_\_\_\_ (Home Finance Corp)